

Prosus N.V. (PRX)

Quartr-Enhanced Investment Analysis

Date: 31 March 2026

Market Cap: ~\$104B USD | Euronext Amsterdam

CEO: Fabricio Bloisi | Parent: Naspers

Generated with Claude Code (Claude Opus 4.6)

1. Business History

From Afrikaner Press to Global Internet Conglomerate

Prosus N.V. is the product of one of the most improbable corporate transformations in modern history: a 111-year journey from a nationalist Afrikaans-language newspaper publisher in South Africa to a \$104 billion Amsterdam-listed internet conglomerate spanning food delivery, fintech, classifieds, e-commerce, and edtech across more than 90 countries.

Origins: Die Nasionale Pers (1915-1985)

In December 1914, sixteen prominent Cape Afrikaners convened to establish a publishing company that would champion Afrikaner culture and language in the Union of South Africa. Attorney William Angus Hofmeyr founded Die Nasionale Pers Beperkt (National Press Ltd) in 1915. For most of the twentieth century, Naspers remained squarely a print media business - newspapers, magazines, and books - serving the Afrikaans-speaking market. The company was insular, ideologically rooted, and geographically confined to southern Africa.

The Pay-TV Pivot and Koos Bekker's Vision (1985-2001)

The first inflection point came in 1985 when a young executive named Koos Bekker led the founding team of M-Net, South Africa's first private subscription television service. M-Net grew into a pay-TV network spanning 48 African countries, proving that Naspers could build technology-driven consumer businesses beyond print. When Bekker became CEO in 1997, he accelerated the pivot: he sold the European portion of the pay-TV business for approximately \$2.2 billion, seeding a war chest for global internet expansion at a moment when most emerging-market media companies were still consolidating their home turf.

The Tencent Bet: \$32 Million to \$130+ Billion (2001)

Bekker's Naspers had spent nearly \$100 million trying - and failing - to crack China with Western media models. As Bekker later admitted, they were "victims of our own stupidity." But on the way out of Beijing, the team stumbled on a small, loss-making Shenzhen startup called Tencent. In May 2001, Naspers's subsidiary MIH Holdings acquired a 46.5% stake in Tencent for \$32 million - against the advice of legal counsel. This single transaction became arguably the greatest venture investment in corporate history. By the time Prosus was listed in 2019, that stake (gradually diluted to roughly 31%) was worth over \$130 billion, dwarfing the entire rest of Naspers's portfolio and turning a mid-cap South African publisher into one of the world's ten largest consumer internet groups by value.

Building the E-Commerce Portfolio (2007-2019)

Emboldened and funded by the Tencent windfall, Naspers deployed capital into consumer internet verticals across high-growth emerging markets. Key moves included: acquiring a 30% stake in Russia's Mail.ru Group in January 2007 for \$165 million; building OLX into the world's largest online classifieds network, serving 330 million monthly users across 40+ countries; investing in PayU to create a global payments and fintech platform, particularly dominant in India processing over \$30 billion in annual transactions; backing iFood in Brazil, which grew into Latin America's leading food delivery platform with approximately 70 million monthly orders; and taking an approximately 80% stake in eMAG, the leading e-commerce retailer in Romania and Central-Eastern Europe. The thread connecting these bets was Bekker's philosophy, later articulated by his successor Bob van Dijk at the 2019 Investor Day: "We partner with entrepreneurs to build global technology leaders... We invest for the long term in technology that addresses a fundamental societal need."

Structural Unbundling: MultiChoice Spinoff and Amsterdam Listing (2019)

Two structural transactions in 2019 reshaped the group. First, in February 2019, Naspers spun off its video entertainment business as the independently listed MultiChoice Group, completing its transformation into a pure-play internet company. Then on September 11, 2019, Prosus N.V. listed on Euronext Amsterdam under the ticker PRX, with a secondary listing on the Johannesburg Stock Exchange. Naspers retained approximately 73% ownership. Prosus debuted at a \$100 billion valuation, instantly becoming Europe's largest listed consumer internet company.

The Discount Problem and Tencent Monetization (2022-2023)

Despite the Amsterdam listing, a persistent holding-company discount remained. In June 2022, Naspers and Prosus launched an open-ended share buyback programme, periodically selling small parcels of Tencent shares to fund repurchases of their own stock. By March 2023, this had unlocked approximately \$29 billion of value. In September 2023, the circular cross-holding structure between Naspers and Prosus was removed, simplifying corporate governance. Cumulatively, the group has returned over \$50 billion to shareholders through buybacks.

The Bloisi Era: Operator-Led, AI-First (2024-Present)

In July 2024, Fabricio Bloisi - the Brazilian founder who had built iFood into Brazil's dominant food-delivery platform - became CEO of both Prosus and Naspers. Bloisi brought an operator's mentality to a group historically run by investors and dealmakers. His signature deal: the EUR 4.1 billion acquisition of Just Eat Takeaway.com, completed in November 2025, consolidating Prosus's position as one of the world's largest food-delivery operators alongside iFood. Prosus also completed the \$1.7 billion acquisition of Despegar in May 2025, adding a leading Latin American travel platform. Meanwhile, Swiggy's IPO in November 2024 validated the India investment thesis.

The Cultural Constant

Across 111 years and multiple reinventions, one trait has remained constant: a willingness to make concentrated, long-duration bets in markets and models that the rest of the investment world considers too risky, too early, or too foreign. As former CFO Ervin Tu acknowledged, "We have changed enormously over time... Would we start with a portfolio that looks like this? I don't think anyone probably would start that way. But we are the beneficiaries of the great success of Tencent." That candor - admitting the role of luck while systematically positioning for the next asymmetric payoff - defines the Prosus DNA.

2. Management & Incentives

Leadership Team: Backgrounds and Track Records

Fabricio Bloisi, CEO (appointed July 2024). Bloisi, 47, is a Brazilian computer-science graduate (UNICAMP) who founded mobile technology firm Movile at age 21 in 1998. His signature achievement was acquiring iFood in 2013 as a 20-person startup and building it into Latin America's dominant food delivery platform - over 90 million monthly orders, highly profitable, serving 60 million customers. He holds an MBA from Fundacao Getulio Vargas plus executive programs at Stanford and Harvard. Bloomberg reports he has publicly targeted doubling the group's market capitalization to \$200 billion by 2028. On earnings calls, Bloisi is energetic, founder-minded, and relentlessly focused on "execution, execution, execution." He addresses shareholders as "partners," references specific KPIs, and repeatedly connects current results back to promises made in prior calls - a credibility-building

habit. His communication style is direct if occasionally verbose, and he is notably candid about underperformance (e.g., acknowledging on the H1 2026 call that Just Eat Takeaway "is not performing well" just six days after taking control of its supervisory board).

Ervin Tu, former President & CIO (stepped down June 2025). Tu joined from SoftBank Vision Fund in 2021 (where he co-led investments in Uber and ByteDance) and served as interim CEO between Bob van Dijk's departure and Bloisi's appointment. He led the critical structural simplification and buyback program. His exit after four years is a notable loss of institutional knowledge, though he remains an advisor.

Basil Sgourdos, former CFO (retired November 2024). A 29-year veteran of the Naspers/Prosus system, Sgourdos provided institutional continuity through multiple leadership transitions. His successor has not been permanently named publicly; Nico Marais serves as interim CFO. A prolonged interim CFO arrangement at a \$104 billion company is worth monitoring.

Bob van Dijk, former CEO (resigned September 2023). Van Dijk's departure was officially "mutual" but followed 80% of Naspers decision-bearing shareholders voting against the remuneration policy and persistent criticism that the persistent NAV discount was not being addressed.

Board Composition and Independence

The board is chaired by **Koos Bekker**, the non-independent, non-executive chairman who is the architect of the original Tencent investment. Bekker is also Naspers chairman, and the Naspers board ultimately controls Prosus. **Hendrik du Toit** serves as lead independent director. The board is not fully independent given Naspers's controlling position; this is a structural feature, not a bug, but minority shareholders should note that governance ultimately flows through Johannesburg. The management team is notably young in tenure (average 1.3 years), reflecting the wholesale leadership refresh since 2023.

Compensation and Skin in the Game

Bloisi's base salary is \$750,000 - deliberately modest for a \$104 billion company CEO, and well below the \$13.5 million US large-cap median. The structure is heavily variable: at least 75% of on-target remuneration is "at-risk" through short-term incentives and long-term equity awards. The headline feature is the **\$100 million "moonshot" award**, payable in Prosus/Naspers shares (70/30 split) in July 2029, contingent on (1) doubling the group's combined market capitalization within four years from July 2024 to July 2028 and sustaining that level for one year, and (2) relative TSR exceeding the 50th percentile versus a peer group. This is an unusually aggressive, binary incentive - it either pays transformatively or pays nothing. It aligns Bloisi directly with the bull case but also creates incentive to pursue high-risk M&A. Bloisi directly owns approximately 0.025% of Prosus shares, valued at roughly \$35 million - meaningful personal wealth but modest relative to the company's size.

Capital Allocation Track Record

The evidence here is genuinely strong. Since initiating the buyback program, Prosus has returned over \$41 billion to shareholders and repurchased approximately 30% of the free float. E-commerce profitability was achieved six months ahead of schedule. Free cash flow excluding Tencent turned

positive in H2 2025. Revenue has compounded at 20%+ growth. The shift to funding buybacks from non-Tencent asset sales rather than Tencent stake reductions is a sophisticated capital allocation evolution.

Key Risks

CFO vacancy. The lack of a permanent CFO 16+ months after Sgourdos's retirement is unusual and warrants scrutiny. **Ervin Tu departure.** Losing the President/CIO who engineered the structural simplification concentrates strategic authority in Bloisi. **Key-person risk.** Bloisi is now the dominant executive personality, strategic architect, and public face. If he departs, the investment case fundamentally changes. **Moonshot incentive risk.** The \$100 million binary award could incentivize aggressive M&A or financial engineering to hit the market-cap doubling target. The Just Eat Takeaway acquisition should be evaluated with this incentive in mind.

3. Competitive Landscape

Food Delivery: iFood (Brazil)

Brazil's food delivery market, valued at approximately \$23.7 billion in 2025, is dominated by iFood with an estimated 80-86% order share. The competitive field has been reshaped by the aggressive entry of Chinese platforms. Meituan (via Keeta) committed \$1 billion to Brazil, while Didi's subsidiary 99Food relaunched with R\$1 billion in backing. Combined, Chinese entrants are deploying approximately \$1.5 billion to establish footholds.

iFood's moat rests on network density (300,000 restaurant partners, 65 million monthly orders), brand dominance, and an expanding ecosystem that now includes fintech (iFood Pago), loyalty, and cross-selling with Despegar for travel. As Prosus management stated on the H1 2026 call: "The periods where we've had the most competition are the periods where we see the most growth... you build a real moat through product." iFood is investing \$3.3 billion over the coming year to defend its position. The 32% core food delivery aEBITDA margin provides a buffer to absorb competitive investment.

Key risk: Meituan's playbook of lower commissions (10-20% versus iFood's 27%), higher rider pay, and consumer subsidies could erode margins even if iFood retains share.

Online Classifieds: OLX (Europe and Latin America)

OLX operates horizontal classifieds platforms across Poland, Romania, Portugal, and other markets, competing with Adevinta, Facebook Marketplace, and local vertical specialists. OLX generated \$777 million in revenue in FY2025, growing 18% with profits up 61% and aEBITDA margins reaching 49%. OLX benefits from powerful two-sided network effects: 14 million daily active users and 62 million active listings create a self-reinforcing liquidity flywheel. Barriers to entry are high because classifieds economics reward the incumbent with the deepest listing inventory.

Disruptive threat: AI. Generative AI could disintermediate traditional listing-and-search classifieds by enabling conversational product discovery. Global classified share prices sold off after OpenAI's

Developer Day and Rightmove's AI profit warning. Management frames this as "both a risk and an opportunity."

Payments and Fintech: PayU (India)

India's digital payment gateway market is intensely competitive. Razorpay commands an estimated 55% of the online payment gateway market, with PayU holding a significantly smaller share. In UPI, PhonePe processes over 48% of all transactions. PayU is now profitable and expanding into lending via LazyPay (BNPL), but its market position is structurally weaker than Prosus's other holdings.

E-tail: eMAG (Romania and CEE)

eMAG is the dominant e-commerce platform in Romania, generating approximately \$2.6 billion in online revenue, representing roughly 32% of Romania's e-commerce market. The primary risk is Trendyol's (Alibaba-backed) aggressive cross-border expansion model, which acquired 500,000 Romanian customers within eight months.

Cross-Portfolio Assessment

Prosus's competitive advantages are most durable in iFood (overwhelming network density, ecosystem extensions) and OLX (two-sided network effects, verticalization). PayU faces the most structural competitive pressure. The simultaneous arrival of Meituan in food delivery, Trendyol in e-tail, and AI-native disruptors in classifieds means Prosus faces the most competitive headwinds it has encountered in years.

4. Financial Characteristics

Revenue Model and Segment Mix

Prosus operates a diversified consumer internet portfolio spanning four core verticals. **eMAG** (online marketplace, ~40% of revenue) generates commission-based and first-party retail revenue concentrated in Central and Eastern Europe. **iFood** (~22%) earns marketplace commissions and delivery fees across Brazil. **PayU** (~22%) collects transaction-processing fees primarily in India and emerging markets. **OLX** (~13%) monetizes classifieds through listing fees, advertising, and transactional revenue. Geographically, Europe dominates at roughly 60% of net sales, followed by Latin America at 26% and India at 11%.

Margin Profile and Trajectory

Prosus's margin story is one of dramatic inflection. Gross margin expanded from 40.6% in FY2024 to 42.5% in FY2025 (\$2.62B gross profit on \$6.17B revenue). The company swung from an operating loss of -\$0.55B in FY2024 to positive operating income of \$0.17B in FY2025, and EBITDA moved from -\$0.38B to +\$0.32B. H1 FY2026 aEBITDA reached \$530m (+70% year-on-year) at a 15% margin, and

full-year FY2026 guidance targets \$1.1-1.2B aEBITDA. Segment-level margins reveal the quality: OLX's 49% aEBITDA margin is best-in-class for classifieds globally. iFood's core delivery margin of 32% exceeds Delivery Hero's consolidated margins and approaches DoorDash territory.

Returns on Capital

Reported ROIC is strikingly low at approximately 0.4-0.7% - deeply misleading because Prosus's invested capital base of ~\$72.6B is dominated by the Tencent stake carried at equity-method value. A segment-level ROIC on e-commerce capital employed is likely in the mid-to-high single digits and rising rapidly given the profit inflection.

Cash Conversion and Capital Intensity

Prosus is remarkably asset-light. FY2025 CapEx was just \$83m against \$6.17B of revenue - a capital intensity ratio of only 1.3%, substantially below peers like MercadoLibre or Delivery Hero. Free cash flow surged from \$422m in FY2024 to \$1.02B in FY2025, and H1 FY2026 alone generated \$1.3B of FCF.

Balance Sheet Strength

Total equity of \$51.12B against long-term debt of \$15.05B yields a debt-to-equity ratio of just 0.29x. The company holds \$7.11B in cash plus \$11.91B in short-term investments - effectively a net cash position. LTV stands at 7.5% gross, interest coverage at 4.1x, supporting investment-grade ratings of BBB (S&P) and Baa2 (Moody's). This fortress balance sheet enabled \$8.42B in share buybacks in FY2025 alone.

Structural Distinctiveness

What makes Prosus truly distinctive is the structural NAV discount. The market values Prosus at roughly 23-27% below the sum of its listed holdings alone, meaning investors receive the entire \$7B+ revenue e-commerce portfolio - now generating over \$1B of annual FCF - essentially for free. The aggressive buyback program (\$5B+ annually at a 30%+ discount) is mathematically accretive and represents the most capital-efficient use of cash available.

5. Red Flags

The Accounting Illusion: Tencent Masks Everything

Prosus's income statement is a fiction of the equity method. In FY2025, the company reported \$6.17B in revenue and just \$173M in operating income - a razor-thin 2.8% operating margin - yet booked \$12.37B in net income. The gap is almost entirely Tencent's equity-method earnings flowing through. FY2024 saw negative \$546M operating income yet \$6.59B net income. Investors cannot evaluate operational health from headline net income.

Management has responded by changing the rules. The redefinition of adjusted EBITDA to exclude all share-based compensation - applied retrospectively - is a classic case of moving the goalposts. SBC is a real economic cost to shareholders through dilution. The external auditor flagged SBC schemes as one of only three Key Audit Matters at the FY2025 audit. When the auditor singles out your adjusted metric's largest exclusion as a key audit concern, investors should pay attention.

The Goodwill Black Hole

Goodwill has collapsed from \$3.37B (FY2022) to \$1.16B (FY2025) despite Prosus continuing to acquire. In FY2023 alone, Prosus recognised \$2.5B in impairment losses. Byju's was written to zero (\$493M fair-value loss). OLX Autos was classified as discontinued. The low residual goodwill is not a sign of conservative accounting - it is the wreckage of a capital allocation strategy that destroyed value. The real question is what impairment risk lurks in the newly acquired Just Eat Takeaway (\$4.1B) and Despegar, which have yet to face a full cycle of goodwill testing.

Governance: Naspers Control and Structural Opacity

Despite the 2024 simplification, Naspers retains control via super-voting shares with roots in apartheid-era South African media. The dual-listed structure creates persistent holding-company discounts (Prosus at ~28%, Naspers at ~36%), which are a market verdict on governance and complexity. The \$50B+ buyback programme, funded by selling down Tencent, is presented as value-accretive NAV arbitrage. But it is simultaneously depleting the single asset that gives Prosus its valuation - a financial treadmill that stops working once the Tencent stake is too small to sell. The delisting of Just Eat Takeaway from Euronext Amsterdam in November 2025 removes a major subsidiary from public scrutiny. With JET now private, Prosus controls both the reporting and the narrative.

Operational and Strategic Risks: Empire-Building Redux?

Bloisi's ambition to build "lifestyle e-commerce ecosystems" is bold but eerily reminiscent of the conglomerate-building playbook that led to the Byju's debacle and OLX Autos failure. The shopping list is extensive: Just Eat Takeaway (negative order growth, requiring turnaround), Despegar (travel integration), La Centrale (French classifieds, 20% IRR target). The \$8B+ M&A firepower creates dry powder for more deals, not fewer.

Legal and Tax Exposures

The Brazil operation carries \$142M in labour litigation claims and \$529M in tax exposures. Hyperinflation accounting for Turkey and Argentina subsidiaries introduces measurement uncertainty.

The Bear Case

Tencent's share price declines by 20%. The buyback engine stalls because selling Tencent into weakness is dilutive to NAV. JET continues to lose orders and requires cash injection. iFood's margins compress under Meituan competition. Indian regulatory actions resurface. The holding company discount blows out to 40%+. In this scenario, Prosus's own e-commerce operations - still barely

profitable - cannot support a \$100B+ market cap.

Questions Investors Should Be Asking Management

1. What is the total SBC expense that the new aEBITDA definition excludes, and what is it as a percentage of aEBITDA?
 2. At what Tencent stake level does the buyback programme become unsustainable?
 3. What are JET's current monthly order trends and cash burn rate, and why was guidance deferred by 45 days?
 4. What is the total cumulative capital destroyed through impairments since 2018?
 5. Can management bridge from \$173M operating income (FY2025) to the \$800M+ EBIT target without relying on Tencent equity income?
 6. What is the mark-to-market on the remaining venture portfolio, and the realistic impairment risk on Despegar and La Centrale goodwill?
 7. How does the Naspers super-voting structure serve minority Prosus shareholders?
 8. What is the contingent liability exposure from Brazilian tax and labour cases beyond the disclosed amounts?
-

6. Investment Checklist

1. Understandable Business - PARTIALLY

Prosus is a global internet investment group with a dominant ~25% stake in Tencent and operated businesses spanning food delivery (iFood), classifieds (OLX), payments (PayU), e-tail (eMAG), travel (Despegar), and developer tools (Stack Overflow). While each individual business is comprehensible, the conglomerate structure creates complexity. An investor must simultaneously evaluate a passive mega-cap equity stake and a collection of emerging-market operating businesses at varying stages of maturity.

2. Durable Competitive Advantages - PARTIALLY

iFood commands a dominant #1 position in Brazilian food delivery with a 32% aEBITDA margin, exhibiting powerful network effects. OLX holds strong classifieds positions with a 49% aEBITDA margin. However, moats vary significantly across the portfolio. PayU faces intense competition in Indian payments. eMAG competes against Amazon and Trendyol. The Tencent stake benefits from WeChat's extraordinary ecosystem lock-in, but Prosus has no operational control.

3. Long Reinvestment Runway at High Returns - YES

Latin American and Indian digital economies remain significantly underpenetrated. iFood's expansion into fintech, grocery, and broader commerce in Brazil, combined with the ecosystem strategy, provides a substantial runway. H1 FY26 results showing 22% revenue growth and 70% aEBITDA growth indicate reinvestment is generating accelerating returns.

4. High Returns on Incremental Capital - PARTIALLY

The operated businesses demonstrate improving unit economics. However, the historical track record

is mixed - Prosus has a well-documented history of value-destructive investments. The current management appears more disciplined, but the track record is short.

5. Strong Free Cash Flow Generation - YES

FCF of \$1.02B in FY25 accelerated to \$1.3B in just H1 FY26, suggesting a full-year run rate approaching \$2.5B+. The combination of maturing operated businesses and Tencent dividend income creates a robust and growing cash flow profile.

6. Conservative Balance Sheet - YES

With \$18.3B in central cash, net cash of \$1.8B, and investment-grade ratings (BBB/Baa2), the balance sheet is strong. The \$15B in long-term debt is well covered by liquid assets including the Tencent stake.

7. Aligned Management with Skin in the Game - PARTIALLY

CEO Bloisi brings operational credibility from building iFood. However, the governance structure remains complex - Naspers controls Prosus through super-voting shares, and interests of Naspers shareholders, Prosus minority holders, and management are not perfectly aligned. The \$100M moonshot award creates alignment but also M&A incentive risk.

8. Rational Capital Allocation History - PARTIALLY

The \$50B+ returned via buybacks demonstrates shareholder-friendly intent and a rational response to the discount. However, historical investment includes significant write-downs across food delivery, payments, and e-commerce ventures. The pivot toward profitability under Bloisi is encouraging but the portfolio still includes businesses that consumed capital for years.

9. Favourable Industry Structure - YES

Brazilian food delivery, emerging-market classifieds, and Indian payments feature high growth, increasing digital adoption, and in several cases consolidated market structures with dominant players. The secular trend toward digital commerce in emerging markets provides a strong multi-year tailwind.

10. Reasonable Valuation Relative to Quality and Growth - YES

At ~\$104B market cap, the Tencent stake accounts for a substantial portion of enterprise value, implying the operated businesses are valued at a significant discount. With FCF likely exceeding \$2B in FY26 and aEBITDA margins expanding toward 15%+, the valuation looks reasonable for a growth-oriented investor willing to accept conglomerate structure.

11. Resilience to Recession or Disruption - PARTIALLY

The Tencent stake provides value ballast. Food delivery and classifieds have proven relatively recession-resistant. However, emerging-market currency exposure, dependence on discretionary consumer spending, and the early-stage nature of several businesses create vulnerability.

12. Transparent Management Communication - PARTIALLY

The shift toward segment-level margin disclosure, explicit guidance, and clearer strategic articulation under Bloisi represent improvement. However, complexity of the structure, opacity around some portfolio investments, and historically limited disclosure leave room for improvement.

Overall Summary

Prosus presents a compelling but complex investment case. The strongest attributes are dominant market positions in iFood and OLX, a rapidly improving free cash flow profile, a conservative balance sheet, and a valuation that implicitly discounts the operated businesses. The transformation under Bloisi from a loss-making portfolio into a profitable, cash-generative operator is genuinely impressive. Key concerns are structural: governance complexity, a mixed historical capital allocation record, and the inherent difficulty of valuing a conglomerate spanning passive equity stakes and operated businesses across multiple emerging markets.

7. Learning Resources

Podcasts & Audio

1. **"Naspers: How Africa's Largest Company Went from Newspaper Publishing to Tencent and Prosus"** - Afrobility: Africa Tech & Business (Episode 5). Comprehensive walkthrough of Naspers' transformation. Listen on Afrobility
2. **"Tencent" (Season 3, Episode 10)** - Acquired Podcast. Ben Gilbert and David Rosenthal trace Tencent's full arc, including the pivotal Naspers investment. Listen on Acquired.fm
3. **"Bloisi on Naspers' E-Commerce Growth in Europe, Latin America and India"** - Business Day (South Africa), January 2026. CEO discusses strategy across three ecosystems. Business Day Podcast
4. **"3 Lessons from Prosus and Tencent: The Art of Capital Allocation"** - The Dutch Investors Podcast, October 2025. Investor-oriented analysis of NAV discount and buyback mechanics. Listen via The Dutch Investors

YouTube & Video

1. **Prosus CEO at Davos: "Don't Underestimate China's AI Capabilities"** - CNBC, January 2026. Bloisi discusses AI competition, 30,000 AI agents deployed, and \$10B+ investment firepower. Watch on CNBC
2. **"Prosus Has 'At Least' \$10 Bln to Keep Investing"** - Bloomberg Television, January 2026. Bloisi with Francine Lacqua at Davos. Watch on Bloomberg
3. **Prosus IGNITE 2025 Capital Markets Day (Webcast Replay)** - Prosus IR, June 25, 2025. Full CMD from London featuring leadership team. Watch on Prosus IR
4. **Prosus HY2026 Results Video** - Prosus, 2026. Bloisi presents half-year results. Transcript on Prosus

Books

1. **"Koos Bekker's Billions"** by T.J. Strydom (2022). Definitive biography of the man behind the Tencent investment. Goodreads
2. **"Gorilla in the Room: Koos Bekker and the Rise and Rise of Naspers"** by Anton Harber (2013). How Bekker transformed an apartheid-era newspaper group into a tech conglomerate. Goodreads
3. **"Influence Empire: The Story of Tencent and China's Tech Ambition"** by Lulu Yilun Chen (2022). Bloomberg journalist's account of Tencent from the inside. Amazon

Long-Form Articles & Research

1. **"Prosus: Softbank Without the Drama"** - Interconnected (Kevin Xu). Sharp comparison with SoftBank's Vision Fund. Read on Interconnected
2. **"Prosus: The Story of a (Unfortunately) Complicated European Tech Company"** - David Still (Substack). Deep dive into corporate structure and conglomerate discount. Read on Substack
3. **"The Double Edged Sword of Success: Understanding Naspers and Their Tencent Investment"** - Bjorn Jeffery. Why the greatest tech investment became a strategic albatross. Read on bjornjeffery.com
4. **"How Africa's Most Valuable Company Made Their Billions"** - Tech Safari Newsletter. Accessible Naspers-to-Tencent narrative. Read on Tech Safari
5. **"How Prosus Plans to Repeat Koos Bekker's Billion-Dollar Tencent Bet"** - Billionaires.Africa, June 2025. Post-Bekker strategy under Bloisi. Read on Billionaires.Africa

Earnings Calls & Primary Sources

Quartr hosts the full archive of Prosus's earnings call transcripts, event slides, and management presentations. Notable events include the Capital Markets Day 2025 (IGNITE), Investor Day 2019, PayU Deep-Dive (April 2022), Food Delivery Presentation (March 2022), and all half-yearly earnings calls from 2019 through 2026.

Suggested Learning Path: Start with the Tech Safari article for the origin story, then the Acquired podcast on Tencent for deep context. Read Bjorn Jeffery's essay to understand the discount problem. Move to Quartr for the Investor Day 2019 transcript and CMD 2025 for current strategy. Watch Bloisi's Davos interviews. For the fullest picture, read T.J. Strydom's "Koos Bekker's Billions."

8. Corporate Culture

Founder Imprint: The Koos Bekker Legacy

The cultural DNA traces directly to Koos Bekker. At the AGM 2025, Bekker articulated the philosophy: "The two things we emphasize most is a culture of enthusiasm and positivism. This is a dangerous game we play. You need a certain optimism. You need to try." This tolerance for entrepreneurial risk, combined with willingness to operate in geographies that Western capital often avoids, is the bedrock culture. However, Bekker's fingerprints are also on the group's governance opacity. The September 2023 departure of CEO Bob van Dijk was widely interpreted as orchestrated by Bekker - Moneyweb reported it was "unlikely to have taken place without the sanction - or insistence - of the Naspers chair."

The CEO Transition: From Dealmaker to Operator

The shift from Bob van Dijk to Fabricio Bloisi represents a deliberate cultural reset. Van Dijk was a McKinsey-trained dealmaker whose tenure was characterized by empire-building - acquiring assets globally but failing to close the NAV discount. Eighty percent of Naspers decision-bearing shareholders voted against the remuneration policy under his watch.

Bloisi is fundamentally different: a Brazilian founder-operator who grew iFood from 20 employees to 7,000-8,000. His language on calls is noticeably informal and results-oriented. At the AGM 2025: "I'm not the new CEO. I'm the old CEO in charge of all the problems." His cultural agenda is explicit - at the H2 2025 call: "entrepreneurship, innovation, culture is my biggest priority."

The appointment of Gustavo Vitti, previously iFood's Chief People and Sustainability Officer, as Group Chief People Officer signals Bloisi is importing the iFood operating culture group-wide.

"The Prosus Way" and Innovation Culture

Bloisi has formalized culture through "The Prosus Way" - emphasizing entrepreneurial ownership, results focus, and an AI-first mindset. Over 30 internal culture events were held in the past year. The internal AI platform "Toqan" has scaled from ~500 AI agents in early 2025 to nearly 3,000 by mid-2025, with ~1,600 "considered AI employees" automating tasks. This represents a genuine top-down push with claimed 5-10% productivity gains and ~\$100 million in annual cost reductions. The opening of an "AI House" in Amsterdam further signals intent to build Prosus as a genuine technology company.

Talent and Retention: A Mixed Picture

At the Prosus HQ level, Glassdoor shows a 4.0/5.0 overall rating with 70% recommending the company. The picture is considerably darker at subsidiary level. OLX Group reveals persistent complaints about job security ("Layoffs, layoffs, layoffs"), frequent restructurings, and third-party payroll arrangements. Reviews describe "senior people with 14 years tenure being discarded."

Cultural Red Flags

- **Integration strain:** Absorbing Just Eat Takeaway and Despegar simultaneously while executing a cultural transformation across 30,000+ employees is extraordinarily ambitious. Analyst Nadim Mohamed flagged: "This kind of change can take many, many years, especially when you're moving from a holding company structure to an operating structure."
- **iFood cultural colonization:** The frugal, high-intensity Brazilian startup culture may clash with European labor norms and Indian market complexity.
- **Governance concentration:** The dual-listing structure, Bekker's outsized influence, and discretionary power over compensation create a governance culture more founder-controlled than typical European-listed companies.
- **Subsidiary-level morale:** The stark gap between Prosus HQ's 4.0 Glassdoor rating and OLX's layoff-scarred culture suggests the "Prosus Way" has not yet permeated operating companies.

9. Earnings Call Deep Dive

Narrative Evolution: From "Fixing the Base" to "Ecosystem Empire"

The arc across these four calls traces one of the more dramatic narrative transformations in European large-cap tech. In H2 2024 (June 2024), Fabricio Bloisi was literally not yet CEO - he spoke from the sidelines while Ervin Tu led the call. The prevailing message was defensive: e-commerce profitability had been achieved "6 months ahead of commitment." The mood was cautiously proud but backward-looking.

By H1 2025 (December 2024), Bloisi was five months in and the rhetoric shifted unmistakably. He opened with "Hello partners" and introduced the "Prosus Way" culture narrative. His language was deliberately provocative: "\$400 million this year - what is okay? This number is going to keep increasing a lot. You should be measuring our profits in billions, not in millions."

By H2 2025 (June 2025), Bloisi was promising "\$800 million plus" in e-commerce aEBIT for FY26, having delivered \$443 million against the \$400 million guide. The ecosystem thesis was being articulated with increasing granularity.

The H1 2026 call (November 2025) represented the fullest expression: "\$1.1 billion to \$1.2 billion in adjusted EBITDA this year, excluding JET and La Centrale," escalating to "I expect us to get to multiple billion dollars of profit."

Guidance and Delivery: A CEO Building Credibility Through Beats

In December 2024, Bloisi set \$6.2 billion revenue and \$400 million aEBIT for FY25. By June 2025, he delivered \$6.2 billion and \$443 million - a clean beat. He then guided for ">\$800 million" in FY26 aEBIT. By November 2025, he reported \$530 million at the half and reaffirmed \$1.1-1.2 billion. As he put it: "One year ago, I told you I expect us to have more profit than the dividends, and I expect us to get to multiple billion dollars of profit. And many people said, I can't see Prosus doing that. So I hope you can see Prosus doing that today."

Analyst Concerns: Three Persistent Threads

Buyback mechanics and Tencent sell-down: William Packer (BNP) and Andrew Ross (Barclays) asked about this on virtually every call. By H1 2026, Bloisi revealed a shift: "We are going to keep the buyback, but not only from Tencent, but from Tencent and other assets... we can expect that we are going to do buybacks using other sources that is not Tencent."

Competition in iFood/food delivery: Lisa Yang (Goldman), Laura Metayer and Luke Holbrook (Morgan Stanley) repeatedly pressed on Meituan's Brazil entry. Bloisi was consistently dismissive but with increasing specificity: "Some companies are investing a lot to have the offer that we had 6 years ago... we just got to 160 million orders."

Cash deployment and "empire building" risk: Christopher Johnen (HSBC) and Cesar Tiron (BofA) pressed on the \$14-17 billion cash position. By November 2025 under Bloisi, the answer was concrete: "our priority is not to spend \$8 billion on big acquisitions right now... execution, execution, execution."

Key Reveals (Direct Quotes)

1. **JET underperformance acknowledged on day 6:** "Jet is underdelivering what they promise -

their current guidance, what they are delivering is less than the current guidance. The efficiency of the investment in Jet has to improve before any other movement. I'm not going to increase investment directly in Jet if I don't think we are making... I could put \$100 million in Jet. It's not very well invested, it's not worthwhile."

2. Meituan stance shifted from strategic to skeptical: "As a Meituan shareholder, I'm disappointed because I think the risk of failing increase. And therefore, we are - we might sell part of the Meituan shares if you want to invest more in other areas with more connection to our ecosystems."

3. iFood fintech as hidden value: "Remember that Mercado Libre has half of its profit from Mercado Pago. iFood Pago is an important part of iFood already and it's growing... fintech numbers are growing very fast and profitability in fintech is growing very fast."

4. The culture mandate as non-negotiable: "Entrepreneurship, obsession about results, innovation to create the future and take risk and test things are non-negotiable. If someone doesn't think that this is amazing, you should leave the company or you should leave the company anyway, one way or the other."

5. Buyback optimization away from Tencent: "The buyback was 100% automatically. That's what I don't mind. We should say we should sell more or less and we should select better what to sell to buy... we can keep buying back but not only from Tencent."

Q&A Dynamics

The most active analysts: **William Packer (BNP)**, **Andrew Ross (Barclays)**, **Cesar Tiron (BofA)**, and **Lisa Yang (Goldman)**. Management engagement improved markedly under Bloisi - calls became longer and more substantive, with Bloisi joking with analysts and engaging directly rather than deflecting. However, his enthusiasm can obscure specificity - he frequently promises detail "on Wednesday" or "in 45 days," creating a forward-referencing pattern that analysts should track. The most revealing dynamic of the H1 2026 call was the contrast between Bloisi's expansive confidence on everything else and his careful hedging on JET - the single clearest signal of where the real execution risk lies.

10. Strategic Documents Analysis

Strategic Priorities: The Bloisi Pivot

Under CEO Fabricio Bloisi, Prosus has articulated a fundamental repositioning around five pillars:

1. Regional ecosystem integration. Consolidating portfolio companies into three regional "ecosystems" - LatAm (iFood, Despegar, fintech), India (PayU plus portfolio), and Europe (OLX, eMAG, JET). The logic: cross-sell synergies, shared tech infrastructure, and combined data advantages.

2. Operational intensity over financial engineering. The rhetorical shift from "investment company" to "operator of ecosystems" is deliberate and consequential. Under Bob van Dijk, Prosus was primarily a capital allocator. Bloisi's messaging emphasises operating leverage, shared AI capabilities, and hands-on management.

3. AI-driven efficiency and product development. AI positioned as a horizontal enabler - logistics optimisation in iFood, pricing intelligence in OLX, fraud detection in PayU.

4. Shareholder returns via buybacks. The \$50B+ returned is a cornerstone. Buybacks at a

discount to intrinsic value are mathematically accretive and have been the single most value-creating action.

5. Tencent monetisation discipline. Measured approach - selling enough to fund buybacks and operations, but not so aggressively as to signal desperation.

Capital Allocation Framework

Stated hierarchy: (1) organic investment where returns exceed cost of capital; (2) targeted bolt-on M&A; (3) share buybacks funded partly by Tencent sales; (4) growing dividends. The risk lies in the "operator" ambition pulling capital into turnarounds (JET's European business) where returns are uncertain.

Long-Term Targets and Credibility

FY26 guidance of \$7.3-7.5B revenue and \$1.1-1.2B aEBITDA implies meaningful margin expansion. Credibility hinges on whether ecosystem integration produces real operating leverage. iFood and OLX targets are plausible; the weak links are PayU and JET.

Narrative vs. Reality

Where strategy aligns: The LatAm ecosystem is most credible - iFood holds dominant share and its expansion into grocery, fintech, and logistics creates genuine flywheel effects. The buyback programme demonstrably narrows the NAV discount. OLX generates real cash flow.

Where strategy diverges: Running a Brazilian food delivery super-app, an Indian payments gateway, and a European classifieds platform requires fundamentally different competencies. The "ecosystem" framing risks being aspirational branding rather than genuine synergy description. JET remains structurally challenged. India ecosystem story is undermined by intense competition.

Risk Acknowledgement

Strategic communications have historically underweighted two critical risks: (1) Tencent concentration - the single-asset dependency is the elephant in every room; (2) Regulatory risk across multiple jurisdictions, particularly China and India.

Evolution of Messaging

The arc from 2019 to 2026: (i) 2019 Investor Day framed Prosus as a visionary internet investor; (ii) 2022-2023 was dominated by defensive messaging around the NAV discount; (iii) from mid-2024, Bloisi triggered a decisive pivot to "operator" language and AI narratives. The critical question: does the "operator of ecosystems" narrative represent genuine transformation or rebranding of the same holding-company reality? The answer likely lies in between - LatAm integration is real, European consolidation is uncertain, and India remains least proven.

11. Synthesis

The Five Things an Investor Must Understand About Prosus

First, Prosus is two businesses in one wrapper, and they require different analytical frameworks. The ~25% Tencent stake (worth roughly \$40-50B at market) is a passive, high-quality asset generating dividend income and equity-method earnings that dominate reported net income. The operated e-commerce portfolio (\$7.3-7.5B revenue, now generating >\$1B FCF) is an emerging-market operator executing a dramatic profitability inflection. The persistent 23-28% NAV discount means the market effectively gives you the entire operated portfolio for free - or, viewed differently, prices in significant scepticism about the conglomerate structure and governance. Every investment decision about Prosus reduces to a view on whether this discount will narrow, persist, or widen.

Second, Fabricio Bloisi is the thesis. The transformation from a loss-making portfolio of internet bets into a profitable, cash-generative operator is genuinely impressive - H1 FY26 results with 22% revenue growth and 70% aEBITDA growth are not financial engineering, they are operational delivery. Bloisi has beaten every guidance target since taking over. But the concentration of strategic authority in a single individual, incentivised by a \$100 million binary moonshot award tied to doubling market cap, creates both alignment and risk. The Just Eat Takeaway acquisition - the largest deal of the Bloisi era - looks like a test case: if he can turn around a structurally challenged European food delivery business, the operator thesis is validated. If not, the "empire building" critique that haunted his predecessor resurfaces.

Third, the earnings call transcripts reveal what web research cannot: Bloisi is systematically building credibility through conservative guidance and deliberate beats, but his candour about JET ("not performing well," "underdelivering what they promise") is strikingly different from his expansive confidence elsewhere. This asymmetry is the single most valuable signal from primary-source analysis. It tells you where the real execution risk is concentrated. Similarly, his admission that the buyback was previously "100% automatic" and his shift toward "selecting better what to sell" reveals a more sophisticated capital allocation approach emerging in real time.

Fourth, the competitive environment is intensifying on multiple fronts simultaneously. Meituan in Brazilian food delivery, Trendyol in Romanian e-commerce, Razorpay in Indian payments, and AI-native disruptors in classifieds represent the broadest competitive assault Prosus has faced. The strategic documents position the "ecosystem" approach as the defensive moat - cross-selling between food delivery, fintech, and travel to create switching costs that point solutions cannot replicate. This is plausible for LatAm (where iFood's dominance provides the anchor) but unproven for Europe and India.

Fifth, the accounting makes Prosus nearly impossible to analyse from headline financials alone. A company with \$173M operating income and \$12.37B net income defies standard screening. The redefinition of aEBITDA to exclude SBC, applied retrospectively, makes trend analysis treacherous. The \$2.5B in cumulative goodwill impairments since FY2022 - including the Byju's write-off - is a sobering reminder that Prosus's historical capital allocation has destroyed substantial value alongside the extraordinary Tencent windfall.

Where Agents Disagree

The Financial Characteristics and Investment Checklist agents paint a picture of improving quality at an attractive valuation. The Red Flags agent forcefully counters that the operated business margins remain thin, the accounting is opaque, and the governance structure is irreducibly problematic. The Earnings Call Deep Dive supports the bull case on management credibility but flags JET as a genuine risk that the Strategic Documents analysis underweights. The Corporate Culture agent identifies a real transformation underway but warns that importing iFood's culture across 30,000 employees in five geographies may be the hardest challenge Bloisi faces.

What Primary Sources Revealed That Web Research Missed

The earnings call transcripts provided three insights unavailable from secondary sources: (1) Bloisi's explicit acknowledgement that JET is "underdelivering" combined with his refusal to commit capital until efficiency improves - this is more nuanced and cautious than any news coverage suggested; (2) the shift in buyback funding away from automatic Tencent selling toward a multi-source approach - a strategically significant evolution buried in Q&A; (3) the iFood fintech comparison to Mercado Pago, which frames a hidden-value narrative that sell-side research has barely explored.

Open Questions and Next Steps

The key debates requiring resolution: Can JET's negative order growth be reversed without massive capital injection? Will Meituan's Brazil commitment force iFood into a margin-destructive competitive response? Is the "ecosystem" thesis generating real synergies or is it a narrative convenience? When will a permanent CFO be appointed?

Overall Quality Assessment

Prosus is a **good business improving rapidly under strong new leadership**, but it is not yet a great business. The quality is concentrated in two gems - iFood and OLX - surrounded by earlier-stage or turnaround situations. The Tencent stake provides extraordinary financial optionality but also structural complexity. The governance is adequate but not exemplary. For an investor comfortable with holding-company structures and confident that Bloisi's operational discipline will persist, Prosus offers attractive risk-reward at current valuations. The primary sources consistently support this view more strongly than the secondary commentary, which tends to anchor on historical scepticism about the conglomerate structure.

Additional research priorities: Read the full CMD 2025 transcript for detailed segment-level strategy; monitor JET order trends in the next quarterly update; track PayU's competitive position post-RBI licence; analyse iFood Pago financials when separately disclosed; watch for permanent CFO appointment.